

Business Opportunity Explained

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explain this in detail and simple way

This topic is about **how entrepreneurs find business opportunities, generate ideas, and check whether those ideas can become successful businesses.**

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1. Identifying Market Opportunities and Trends

What is a Business Opportunity?

A business opportunity is an idea that can be converted into a profitable business.

Example:

- Selling healthy protein drinks
- Creating an AI-based learning app
- Starting a cloud kitchen

An opportunity is not found by luck. An entrepreneur must:

1. Collect information
2. Study the market
3. Analyze demand
4. Check profitability

Only then can they decide whether the idea is worth pursuing.

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Two Important Factors of a Business Opportunity

A. Market Potential

Market potential means:

"How many people will buy the product?"

Example:

Suppose you want to start a food delivery service in a college area.

Questions:

- Are students interested?

- How many students are there?
- Are similar services already available?

If many customers exist, market potential is high.

B. Return on Investment (ROI)

ROI means:

"How much profit will I earn compared to the money invested?"

Example:

- Investment = ₹1,00,000
- Profit = ₹20,000

ROI = 20%

Even if demand exists, the business should generate sufficient profit.

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Creating New Needs

Sometimes entrepreneurs create needs that people never realized they had.

Examples:

- Energy drinks
- Mineral water
- Instant foods
- Health supplements

Before these products existed, many people didn't think they needed them. Entrepreneurs identified hidden opportunities.

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2. Opportunity Assessment Plan

Before starting a business, entrepreneurs prepare an **Opportunity Assessment Plan**.

Think of it as a quick test before spending time creating a full business plan.

Why use it?

It helps answer:

"Is this idea worth pursuing?"

It is:

- Shorter than a business plan
- Focuses on the opportunity

- Helps decide whether to continue or not

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Section 1: Product/Service Analysis

Questions answered:

What problem does it solve?

Example:

- Online tutoring solves difficulty in finding teachers.

What is the product?

Example:

- Mobile learning app

What are its features?

Example:

- Live classes
- AI doubt solving
- Mock tests

Competitor Analysis

Check:

- Existing products
- Their prices
- Their features

Example:

- Byju's
- Unacademy
- Physics Wallah

Unique Selling Proposition (USP)

USP means:

What makes your product special?

Example:

- Personalized AI mentor

- Lower subscription cost
- Regional language support

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Section 2: Market Analysis

This section studies the market.

Questions:

Who needs the product?

Example:

- JEE aspirants

Why do they need it?

Example:

- Better exam preparation

How large is the market?

Example:

- Millions of students preparing for competitive exams

Is the market growing?

If more students join coaching every year, growth is positive.

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3. Ideation Process

Ideation means:

Generating and improving ideas to solve problems.

Think of it as a systematic way of innovation.

Instead of randomly thinking of ideas, companies follow a process.

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Stages of Ideation

Stage 1: Problem Identification

Find the problem first.

Example:

- Students struggle to manage study schedules.

Questions:

- Why is this happening?
- How serious is it?

Research and data collection happen here.

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Stage 2: Idea Generation

Generate many solutions.

Example:

- Study planner app
- AI timetable creator
- Smart reminders

Rules:

- No criticism
- Think freely
- Quantity is important

Methods:

- Brainstorming
- Mind mapping
- Workshops

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Stage 3: Idea Evaluation

Now filter the ideas.

Check:

Feasibility

Can it be built?

Cost

Can we afford it?

Impact

Will people use it?

Strategic Fit

Does it match company goals?

Tools:

- SWOT Analysis
- Scoring Models
- Feedback

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Stage 4: Implementation Planning

Convert the idea into action.

Plan:

- Resources
- Team members
- Timeline
- Budget

Example:

- Design app
- Develop app
- Test app
- Launch app

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Characteristics of a Successful Ideation Process

1. Collaboration

People from different backgrounds contribute ideas.

Example:

- Engineers
- Designers
- Marketers

Together they create better solutions.

2. Clear Objectives

Everyone should know the problem being solved.

Without clear goals, ideas become unfocused.

3. Feedback Loops

Continuous feedback improves ideas.

Example:

- Prototype → Feedback → Improvement
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4. Structured Evaluation

Use fixed criteria:

- Cost
 - Feasibility
 - Profitability
-

5. Supportive Culture

Employees should feel safe sharing ideas without fear of criticism.

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4. Cross-Disciplinary Collaboration

Meaning:

People from different fields work together.

Example:

Developing a healthcare app may require:

- Doctors
- Software engineers
- Data scientists
- Designers

Each contributes unique knowledge.

Benefits:

- Better innovation
- More creative solutions
- Products useful to more people

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5. Assessing Market Feasibility and Demand

Before investing money, entrepreneurs check:

"Can this business succeed?"

This is called a feasibility study.

It includes:

1. Preliminary Analysis
2. Market Research
3. Financial Feasibility
4. Risk Analysis

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6. Preliminary Analysis

This is the first screening stage.

Purpose:

Determine whether the idea deserves detailed investigation.

Activities:

- Review documents
- Interview experts
- Survey customers

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Important Questions

1. Is the idea practical?
2. Is the technology available?
3. What risks exist?
4. How is it different from competitors?
5. Is the market growing?
6. Do we have enough money?

If answers are positive → Go Ahead

Otherwise → No-Go

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7. Market Research

Market research means gathering information about customers and competitors.

Purpose:

- Understand customer needs
- Find opportunities
- Reduce risks
- Improve decisions

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Types of Market Research

Primary Research

Collect your own data.

Examples:

- Surveys
- Interviews
- Focus groups

Secondary Research

Use existing data.

Examples:

- Industry reports
- Research papers
- Government reports

Qualitative Research

Answers:

Why do customers behave this way?

Example:

- Customer interviews

Quantitative Research

Answers:

How many customers think this way?

Example:

- Online survey with 1000 responses

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8. Financial Feasibility

Financial feasibility checks whether the business can make money.

Major parts:

Initial Investment

Money needed to start.

Examples:

- Equipment
- Machinery
- Licenses
- Buildings

Formula:

$$\text{Initial Investment} = \text{CapEx} + \Delta \text{WC} - D$$

Where:

- CapEx = Capital Expenditure
- ΔWC = Change in Working Capital

- D = Disposal proceeds from old assets

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Operating Costs

Daily expenses.

Examples:

- Salaries
- Rent
- Electricity
- Marketing

Formula:

$$\text{Operating Costs} = \text{COGS} + \text{Operating Expenses}$$

Where:

- COGS = Cost of Goods Sold
- Operating Expenses = Administrative expenses

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Revenue Projections

Estimate future sales.

Methods:

- Historical trends
- Customer growth model
- Bottom-up forecasting
- Top-down forecasting

Example:

If projected sales are ₹10 lakh next year, revenue projection = ₹10 lakh.

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Cash Flow Analysis

Tracks:

Money Coming In – Money Going Out

Purpose:

- Ensure bills can be paid on time.
- Avoid cash shortages.

Even profitable businesses can fail if cash flow is poor.

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Exam-Oriented Summary (5 Marks)

1. Business opportunity depends on market potential and ROI.
2. Opportunity assessment plan evaluates whether an idea is worth pursuing.
3. Ideation process has four stages:
 - Problem Identification
 - Idea Generation
 - Idea Evaluation
 - Implementation Planning
4. Cross-disciplinary collaboration improves innovation through diverse expertise.
5. Market feasibility includes preliminary analysis, market research, and financial feasibility.
6. Financial feasibility examines:
 - Initial Investment
 - Operating Costs
 - Revenue Projections
 - Cash Flow Analysis

These are the most important points likely to be asked in university exams from this chapter.

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This part continues **Financial Feasibility Analysis** and explains **Cash Flow Analysis, Profitability Analysis, and Break-Even Analysis**, which are very important for exams.

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1. Cash Flow Analysis

What is Cash Flow?

Cash flow means:

Movement of cash into and out of a business.

Think of it as:

Cash In – Cash Out

A company may be profitable but still fail if it does not have enough cash available to pay bills.

Example:

- Profit on paper = ₹1,00,000
- Cash available in bank = ₹5,000

The company may struggle to pay salaries or rent.

Therefore, cash flow analysis is very important.

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Types of Cash Flows

A. Operating Cash Flow (CFO)

Cash generated from normal business operations.

Examples:

- Money received from customers
- Money paid to suppliers
- Salaries paid
- Electricity bills

It shows whether the core business is generating cash.

B. Investing Cash Flow (CFI)

Cash used for buying or selling long-term assets.

Examples:

- Buying machinery
- Buying land
- Selling equipment

Usually negative when a company is expanding because it spends money on assets.

C. Financing Cash Flow (CFF)

Cash related to loans and investors.

Examples:

- Taking a bank loan
- Repaying debt

- Issuing shares
- Paying dividends

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Importance of Cash Flow Analysis

1. Liquidity Management

Checks whether the company can pay short-term expenses.

Example:

- Salaries
 - Rent
 - Electricity bills
-

2. Operational Efficiency

Shows where cash is being wasted.

Example:

- Excess inventory
 - Late customer payments
-

3. Investment Decisions

Helps decide whether a company can afford new projects.

4. Financial Planning

Helps estimate future cash requirements.

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Example of Cash Flow Analysis

Suppose GreenTech has:

Operating Activities

Cash received from customers = \$500,000

Cash paid:

- Suppliers = \$300,000
- Operating expenses = \$150,000

Calculation:

$$CFO = 500000 - 300000 - 150000$$

$$CFO = 50000$$

Investing Activities

- Equipment purchase = \$40,000
- Machinery sold = \$10,000

$$CFI = 10000 - 40000$$

$$CFI = -30000$$

Negative means more money was invested than received.

Financing Activities

- Loan received = \$100,000
- Loan repayment = \$20,000
- Dividends paid = \$10,000

$$CFF = 100000 - 20000 - 10000$$

$$CFF = 70000$$

Net Cash Flow

$$Net\ Cash\ Flow = CFO + CFI + CFF$$

$$= 50000 - 30000 + 70000$$

$$= 90000$$

GreenTech generated **\$90,000 positive cash flow**.

This means the company's cash position improved during the year.

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2. Profitability Analysis

What is Profitability Analysis?

It measures:

"How efficiently a company earns profit."

Simply:

$$Profit = Revenue - Expenses$$

A business must not only generate sales but also make sufficient profit.

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Why is Profitability Analysis Important?

Performance Measurement

Shows whether the company is performing well.

Better Decision Making

Helps decide:

- Pricing
- Cost reduction
- Expansion plans

Strategic Planning

Identifies:

- Profitable products
- Profitable customers

Investor Attraction

Investors prefer businesses with good profitability.

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Important Profitability Ratios

1. Gross Profit Margin

Shows profit after production costs.

Formula:

$$Gross\ Profit = Revenue - COGS$$

$$Gross\ Profit\ Margin = \frac{Gross\ Profit}{Revenue} \times 100$$

2. Operating Profit Margin

Shows profit from business operations.

Formula:

$$Operating\ Profit = Gross\ Profit - Operating\ Expenses$$

$$Operating\ Margin = \frac{Operating\ Profit}{Revenue} \times 100$$

3. Net Profit Margin

Shows final profit after all expenses.

Formula:

$$Net\ Profit = Operating\ Profit - Interest - Taxes$$

$$Net\ Profit\ Margin = \frac{Net\ Profit}{Revenue} \times 100$$

4. Return on Assets (ROA)

Shows how efficiently assets generate profit.

Formula:

$$ROA = \frac{Net\ Profit}{Total\ Assets} \times 100$$

5. Return on Equity (ROE)

Shows returns earned for shareholders.

Formula:

$$ROE = \frac{Net\ Profit}{Shareholder\ Equity} \times 100$$

Example: EcoClean Company

Given:

- Revenue = \$500,000
- COGS = \$300,000
- Operating Expenses = \$100,000
- Interest = \$10,000
- Taxes = \$20,000

Gross Profit

$$500000 - 300000 = 200000$$

Gross Profit = \$200,000

Gross Profit Margin

$$\frac{200000}{500000} \times 100 = 40\%$$

Operating Profit

$$200000 - 100000 = 100000$$

Operating Profit = \$100,000

Operating Margin

$$\frac{100000}{500000} \times 100 = 20\%$$

Net Profit

$$100000 - 10000 - 20000 = 70000$$

Net Profit = \$70,000

Net Profit Margin

$$\frac{70000}{500000} \times 100 = 14\%$$

ROA

If assets = \$400,000

$$\frac{70000}{400000} \times 100 = 17.5\%$$

ROE

If equity = \$250,000

$$\frac{70000}{250000} \times 100 = 28\%$$

Interpretation:

- Gross Margin = 40%
- Operating Margin = 20%
- Net Margin = 14%
- ROA = 17.5%
- ROE = 28%

These indicate a financially healthy company.

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3. Break-Even Analysis

What is Break-Even Point (BEP)?

Break-Even Point is the point where:

$$Total\ Revenue = Total\ Cost$$

At this point:

- Profit = 0
- Loss = 0

The company neither earns nor loses money.

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Key Terms

Fixed Costs

Remain constant.

Examples:

- Rent
- Salaries
- Insurance

Variable Costs

Change with production.

Examples:

- Raw materials
- Packaging
- Shipping

Contribution Margin

Amount available to cover fixed costs.

Formula:

$$\text{Contribution Margin} = \text{Selling Price} - \text{Variable Cost}$$

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Break-Even Formula

$$\text{Break-Even Units} = \frac{\text{Fixed Costs}}{\text{Selling Price per Unit} - \text{Variable Cost per Unit}}$$

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Example: GadgetPro

Given:

- Fixed Cost = \$50,000
- Selling Price = \$25
- Variable Cost = \$10

Contribution Margin

$$25 - 10 = 15$$

Break-Even Units

$$\frac{50000}{15} = 3333.33$$

Rounded up:

3,334 units

Meaning:

GadgetPro must sell **3,334 products** before earning any profit.

If it sells:

- Less than 3,334 → Loss
- Exactly 3,334 → Break-even
- More than 3,334 → Profit

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Break-Even Chart (Very Important for Exam)

The chart contains:

X-Axis

Number of units sold

Y-Axis

Revenue and Costs

Total Revenue Line

Starts from origin and rises upward.

Total Cost Line

Starts above origin because fixed costs already exist.

Intersection Point

This is the **Break-Even Point (BEP)**.

- Left side of BEP → Loss Area
- Right side of BEP → Profit Area

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10-Mark Exam Summary

1. Cash Flow Analysis tracks cash inflow and outflow.

2. Cash flows are:

- Operating (CFO)
- Investing (CFI)
- Financing (CFF)

3. Profitability Analysis measures a company's ability to generate profit.

4. Important ratios:

- Gross Profit Margin
- Operating Profit Margin
- Net Profit Margin
- ROA
- ROE

5. Break-Even Point occurs when Total Revenue = Total Cost.

6. Break-Even Formula:

$$BEP = \frac{\text{Fixed Costs}}{\text{Selling Price} - \text{Variable Cost}}$$

7. Sales above BEP generate profit; sales below BEP result in loss.

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This section covers **Risk Assessment, Scalability, Technical Feasibility, Proof of Concept (PoC), Prototype Development, and Cost Estimation**. These topics explain how entrepreneurs check whether an idea is technically possible, financially viable, and capable of growing into a successful business.

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1. Risk Assessment

What is Risk Assessment?

Risk Assessment means:

Identifying and analyzing possible dangers that could affect the business.

Before investing money, entrepreneurs ask:

"What could go wrong?"

Examples:

- Strong competitors enter the market.
- Government regulations change.

- Economic recession occurs.
- Customer demand decreases.

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Why is Risk Assessment Important?

1. Prevents Future Problems

Identifies threats before they become serious.

2. Helps Create Backup Plans

Example:

- If one supplier fails, have another supplier ready.

3. Improves Decision Making

Entrepreneurs can make safer investment decisions.

SWOT Analysis

A common tool used in risk assessment.

SWOT	Meaning
S	Strengths
W	Weaknesses
O	Opportunities
T	Threats

Example: Food Delivery Startup

Strengths

- Fast delivery
- Good technology

Weaknesses

- Limited budget

Opportunities

- Growing online food market

Threats

- Zomato and Swiggy competition

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2. Scalability and Growth Potential

What is Scalability?

Scalability means:

Can the business grow without major problems?

Example:

Suppose a bakery serves 100 customers daily.

Can it expand to:

- 1,000 customers?
- Multiple cities?
- Multiple product lines?

If yes, it is scalable.

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Factors Affecting Scalability

Market Expansion

Can the business enter new cities or countries?

Product Expansion

Can new products be introduced?

Example:

- A phone company later launches laptops and tablets.

Partnerships

Can partnerships help growth?

Example:

- Startup + Amazon partnership

Adaptability

Can the business survive changing customer preferences?

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3. Continuous Monitoring and Adaptation

Markets keep changing.

Customer preferences change.

Technology changes.

Competitors change.

Therefore, entrepreneurs must regularly:

- Monitor market trends
- Update business strategies
- Review feasibility studies
- Adapt products

Example:

Nokia failed to adapt quickly to smartphones.

Apple and Android companies adapted successfully.

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4. Technical Feasibility

What is Technical Feasibility?

Technical feasibility means:

Checking whether the product can actually be built using available technology and resources.

Question:

"Can we technically create this product?"

Example:

Suppose you want:

- AI-based medical diagnosis software

Questions:

- Is the technology available?
- Are skilled developers available?
- Is the required data available?

If yes → technically feasible.

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5. Proof of Concept (PoC)

Definition

A Proof of Concept (PoC) is:

A small demonstration that proves an idea can work.

Purpose:

Not to build the final product.

Instead:

To answer:

"Can this idea work in reality?"

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Example of PoC

Suppose you want to create:

AI system that detects diseases from X-rays.

Before building the complete software:

Create a simple model.

Test:

- Can AI detect diseases?
- Is accuracy acceptable?

If successful:

Move to full product development.

This test is called a PoC.

Objectives of PoC

1. Feasibility Testing

Checks whether the idea works.

2. Risk Reduction

Identifies technical problems early.

3. Validation

Provides evidence that the idea is practical.

4. Investor Attraction

Investors are more willing to invest after seeing proof.

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Components of a PoC

1. Clear Objectives

Define exactly what is being tested.

Example:

- AI should achieve 90% accuracy.
-

2. Product Specifications

Define:

- Features
 - Functionalities
-

3. Demonstration

Build a small working version.

4. Evaluation Criteria

Define success measurements.

Example:

- Accuracy
- Speed
- Cost

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Steps to Create a PoC

Step 1: Identify the Need

Find the problem.

Example:

- Students struggle with timetable planning.
-

Step 2: Create a Roadmap

Plan:

- Resources
 - Timeline
 - Tasks
-

Step 3: Formulate Hypotheses

Example:

"We expect the AI planner to reduce scheduling time by 50%."

Step 4: Execute the PoC

Build and test.

Step 5: Evaluate Results

Compare actual results with expectations.

Step 6: Document Findings

Record:

- Successes

- Failures
- Challenges

Step 7: Make Recommendations

Decision:

- Continue development
- Modify idea
- Abandon idea

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6. Prototype Development

What is a Prototype?

A prototype is:

An early model of a product used for testing.

Think:

PoC proves the idea works.

Prototype shows what the actual product may look like.

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Difference Between PoC and Prototype

PoC	Prototype
Proves idea works	Shows product design
Focuses on feasibility	Focuses on user experience
Early stage	Later stage
Technical validation	Product refinement

Easy way to remember:

PoC → "Can we build it?"

Prototype → "How should we build it?"

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Types of Prototypes

1. Low-Fidelity Prototype

Simple and cheap.

Examples:

- Paper sketches
- Cardboard models

Purpose:

- Visualize ideas quickly
-

2. High-Fidelity Prototype

More detailed and realistic.

Examples:

- Actual product models
- Functional mockups

Purpose:

- User testing
-

3. Digital Prototype

Created using software.

Examples:

- Mobile app mockups
- Website wireframes

Purpose:

- Simulate user interaction

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Benefits of Prototype Development

Iterative Improvement

Build → Test → Improve → Repeat

User Feedback

Users identify:

- Missing features
 - Design issues
-

Cost Savings

Finding mistakes early saves money.

Investor Confidence

A working prototype attracts investors.

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Stages of Prototype Development

1. Requirement Gathering

Collect requirements from:

- Customers
 - Stakeholders
-

2. Design

Create:

- Sketches
 - Wireframes
-

3. Prototype Creation

Build the initial version.

4. User Evaluation

Get user feedback.

5. Refinement

Improve based on feedback.

6. Final Presentation

Present refined prototype.

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Best Practices in Prototyping

Iterative Approach

Keep improving continuously.

User-Centered Design

Focus on user needs.

Documentation

Record changes and feedback.

Collaboration

Involve:

- Designers
- Engineers
- Stakeholders

Functionality First

Ensure the product works before improving appearance.

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7. Cost Estimation

Definition

Cost estimation means:

Calculating the total money required for a project.

It helps answer:

"How much will this business cost?"

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Types of Costs

Fixed Costs

Remain unchanged.

Examples:

- Rent
 - Insurance
 - Permanent staff salaries
-

Variable Costs

Change with production.

Examples:

- Raw materials
 - Packaging
 - Shipping
 - Direct labor
-

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10-Mark Exam Summary

Risk Assessment

- Identifies threats and uncertainties.
- Uses SWOT analysis.

Scalability

- Measures growth potential.
- Evaluates expansion possibilities.

Technical Feasibility

- Checks whether the product can be built.

Proof of Concept (PoC)

- Demonstrates technical feasibility.
- Reduces risk and attracts investors.

Prototype Development

- Creates an early product model.
- Collects user feedback and improves design.

Cost Estimation

- Calculates project costs.
- Includes fixed and variable costs.

These six topics are frequently asked together in entrepreneurship and innovation exams.

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